

23STCV07076 23STCV07076

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Case Number: 23STCV07076 Hearing Date: September 16, 2026 Dept: 1

Final

Approval of Class Action Settlement

Department SSC-1

Hon. Theresa M. Traber

Jose Maldonado v. TPS Solutions, Inc., et al.

Case

No.: 23STCV07076

Hearing Date:

September 16, 2026

TENTATIVE RULING

The Court hereby GRANTS final approval and awards/approves the following:

(1) \$300,000 (33 1/3%) for attorney fees to Class Counsel, D.Law, Inc., David Yeremian & Associates, Inc., and Lavi & Ebrahimian, LLP; (2) \$32,986.04 for attorney costs to Class Counsel; (3) enhancement payments of \$7,500 each to Plaintiffs Jose Maldonado and Cintia Sevilla; (4) \$75,000 (75% of \$100,000 PAGA penalty) to the LWDA; and (5) \$14,000 for settlement administration

costs to Apex Class Action, LLC.

Plaintiffs' counsel shall file a proposed Order and Judgment, consistent with this ruling containing all requisite terms, including the class definition, release language, and a statement that no class members requested exclusion. The Court orders class counsel to file a final report summarizing all distributions made pursuant to the approved settlement, supported by declaration. The Court will set a non-appearance date for submission of a final report for _____.

BACKGROUND

Plaintiff

Jose Maldonado and Cintia Sevilla sue their former employer, Defendants TPS Solutions, Inc. ("TPS"), and MESHLogistics, Inc. ("MESH") (collectively "Defendants"), for alleged wage and hour violations. Plaintiffs seek to represent a class of Defendants' current and former non-exempt employees.

On

March 30, 2023, Plaintiff Maldonado commenced a Class Action by filing a Complaint alleging causes of action against Defendants for various Labor Code violations. On March 30, 2023, pursuant to Labor Code section 2699.3, subd. (a), Plaintiff Maldonado gave timely written notice to Defendants and the Labor & Workforce Development Agency ("LWDA"). On June 5, 2023, Plaintiff Maldonado filed a First Amended Complaint adding a cause of action for civil penalties under PAGA pursuant to Labor Code section 2699, et seq.

On

October 12, 2023, Plaintiff Sevilla commenced a Class Action by filing a Complaint alleging causes of action against Defendants for various Labor Code violations. On October 12, 2023, pursuant to Labor Code section 2699.3, subd.(a), Plaintiff Sevilla gave timely written notice to Defendant TPS, Defendant Mesh and the LWDA. On December 18, 2023, Plaintiff Sevilla commenced a PAGA Action (Case No. 23STCV30800) alleging one cause of action against Defendants for civil penalties pursuant to PAGA, Labor Code Sections 2698, et seq.

On

January 27, 2025, the Parties participated in an all-day mediation presided over by Monique Ngo-Bonnici which led to this Agreement to settle Plaintiffs'

claims. The terms of settlement were finalized in the long-form Class Action and PAGA Settlement Agreement ("Settlement Agreement"), a copy of which was filed with the Court on February 6, 2026.

On

February 5, 2026, the Plaintiffs filed a Second Amended Complaint in the Action to combine the Plaintiffs and their claims. The operative complaint alleges causes of action for: (1) Failure to Pay Minimum Wages (including Regular Rate) in Violation of Labor Code sections 1194 and 1197; (2) Failure to Pay Wages and Overtime Under Labor Code §§ 510, 1194 and Wage Orders; (3) Meal-Period Liability Under Labor Code § 226.7 and Wage Orders; (4) Rest-Break Liability Under Labor Code § 226.7 and Wage Orders; (5) Failure to Comply with Labor Code § 245 et seq., and 246; (6) Failure to Provide Complete and Accurate Wage Statements in Violation of Labor Code § 226; (7) Failure to Keep Required Payroll Records Under Labor Code §§ 1174 and 1174.5; (8) Failure to Timely Pay All Earned Wages and Final Paychecks Due at Time of Separation of Employment and for Penalties Pursuant to Labor Code §§ 201, 202 and 203; (9) Violation of Business & Professions Code § 17200 et seq.; and (10) Penalties Pursuant to Labor Code § 2699, et seq.

On

June 5, 2026, after the parties filed further briefing and a revised class notice to address concerns raised by the Court, preliminary approval of the settlement was granted.

Notice was given to

the Class Members as ordered (see Declaration of Norma Ayala ("Ayala Decl.")). Now before the Court is the Motion for Final Approval of the settlement.

SETTLEMENT

CLASS DEFINITION

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"Class"

means all persons employed by Defendants in California and classified as a non-exempt hourly employee who worked for Defendants during the Class Period.

(¶1.5)

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"Class

Period” means the period from October 12, 2019 to the earlier of the date that the Court grants Preliminary Approval or April 27, 2025. (¶1.12)

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“Aggrieved

Employee” means a person employed by Defendants in California and classified as a non-exempt hourly employee who worked for Defendants during the PAGA Period. (¶1.4)

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“PAGA

Period” means the period from April 12, 2022 to the earlier of the date that the Court grants Preliminary Approval or April 27, 2025. (¶1.31)

TERMS OF SETTLEMENT AGREEMENT

The essential terms are as follows:

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The Gross

Settlement Amount (“GSA”) is \$900,000, non-reversionary. (¶3.1)

o Escalator Clause: Based on its records, Defendants estimate that, as of the date of this Settlement Agreement, (1) there are 1,310 Class Members and 73,819 total workweeks from October 12, 2019 to January 27, 2025 and (2) there were 667 Aggrieved Employees who worked 26,352 PAGA Pay Periods from April 12, 2022 to January 27, 2025. If the total number of Workweeks encompassed within the Class Period exceeds 73,819 by more than 10% [i.e., by more than 81,200.9], then at Defendants’ option, either: (a) the Gross Settlement Amount shall be increased by the percentage increase in excess of 10% (e.g. if the number of Workweeks increases by 11%, the Gross Settlement Amount will increase by 1%); or (b) the Class Period and PAGA Period shall end as of the date on which the Workweeks in the Class Period reaches 81,201 Workweeks. If the Gross Settlement Amount is increased under this escalator clause, the Parties agree that the Class Counsel Fees Payment will be 35% of the increased Gross Settlement Amount. (¶8)

o At final approval, the settlement administrator represents that the total number of Workweeks worked by Participating Class Members during the Class Period is 77,443. (Ayala Decl., ¶17.) Accordingly, the escalator clause was not triggered.

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The Net Settlement Amount ("Net") estimated at preliminary approval (\$401,000) is the GSA minus the following:

o Up to \$315,000 (35%) for attorney fees (¶3.2.2);

o Up to \$50,000 for litigation costs (Ibid.);

o Up to \$20,000 total [\$10,000 each] for a Service Payment to each Named Plaintiff (¶3.2.1);

o Up to \$14,000 for settlement administration costs (¶3.2.3); and

o Payment of \$100,000 PAGA penalty (75% or \$75,000 to the LWDA). (¶3.2.5)

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Defendants will separately pay any and all employer payroll taxes owed on the Wage Portion of the Individual Class Payments. (¶3.1)

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There is no claim form requirement. (¶3.1)

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Individual Settlement Payment Calculation: Each Participating Class Member will receive an Individual Class Payment calculated by (a) dividing the Net Settlement Amount by the total number of Workweeks worked by all Participating Class Members during the Class Period and (b) multiplying the result by each Participating Class Member's Workweeks. (¶3.2.4) Non-Participating Class Members will

not receive any Individual Class Payments. The Administrator will retain amounts equal to their Individual Class Payments in the Net Settlement Amount for distribution to Participating Class Members on a pro rata basis. (¶3.2.4.2)

o PAGA Payments: The Administrator will calculate each Individual PAGA Payment by (a) dividing the amount of the Aggrieved Employees' 25% share of PAGA Penalties \$25,000.00 by the total number of PAGA Pay Periods worked by all Aggrieved Employees during the PAGA Period and (b) multiplying the result by each Aggrieved Employee's PAGA Period Pay Periods. (¶3.2.5.1)

o Tax Allocation: Participating Class Member's Individual Class Payments will be allocated as follows: 10% as wages, 90% as interest and penalties. (¶3.2.4.1) The Administrator will report the Individual PAGA Payments on IRS 1099 Forms. (¶3.2.5.2)

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Response Deadline: "Response Deadline" means 45 calendar days after the Administrator mails Notice to Class Members and Aggrieved Employees and shall be the last date on which Class Members may: (a) fax, email, or mail Requests for Exclusion from the Settlement, or (b) fax, email, or mail his or her Objection to the Settlement. Class Members to whom Notice Packets are re-sent after having been returned undeliverable to the Administrator shall have an additional 14 calendar days beyond the date that the Response Deadline has expired. (¶1.43) The same deadline applies to the submission of workweek disputes. (¶7.6)

o If the number of valid Requests for Exclusion identified in the Exclusion List exceeds 7.5% of the total of all Class Members, Defendants may, but are not obligated, elect to withdraw from the Settlement. (¶9)

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Funding

of Settlement: Defendants shall fully fund the Gross Settlement Amount and also fund the amounts necessary to fully pay Defendants' share of payroll taxes by transmitting the funds to the Administrator no later than fourteen (14) days after the Effective Date. (¶4.3)

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Disbursement:

Within 14 days after Defendants fund the Gross Settlement Amount, the Administrator will mail checks for all Individual Class Payments, all Individual PAGA Payments, the LWDA PAGA Payment, the Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representative Service Payments. Disbursement of the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment and the Class Representative Service Payment shall not precede disbursement of Individual Class Payments and Individual PAGA Payments. (§4.4)

Uncashed Settlement Checks: The face of each check shall prominently state the date (not less than 180 days after the date of mailing) when the check will be voided. (§4.4.1) For any Class Member whose Individual Class Payment check or Individual PAGA Payment check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such checks to the California Controller's Unclaimed Property Fund in the name of the Class Member thereby leaving no "unpaid residue" subject to the requirements of California Code of Civil Procedure Section 384, subd. (b). (§4.4.3)

The settlement administrator will be Apex Class Action Administration. (§1.2)

The proposed Settlement Agreement was submitted to the LWDA on February 6, 2026. (Kim Decl. ISO Prelim, Exhibit 6.)

Releases of Claims. Effective on the date when Defendants fully fund the entire Gross Settlement Amount and fund all employer payroll taxes owed on the Wage Portion of the Individual Class Payments, Plaintiffs and Class Members will release claims against all Released Parties as follows: (§5)

o Release by

Participating Class Members: All Participating Class Members, on behalf of themselves and their respective former and present representatives, agents, heirs, administrators, successors, and assigns, release the Released Parties from all claims that were alleged, or reasonably could have been alleged based

on the Class Period facts stated in the Operative Complaint, including claims for (i) failure to pay all minimum wages due; (ii) failure to pay all overtime wages due; (iii) failure to provide meal or rest breaks; (iv) failure to account for all forms of remuneration at the regular rate of pay used to calculate and pay paid sick leave, overtime and meal and rest break premiums; (v) failure to provide complete, accurate wage statements; (vi) failure to keep required payroll records; (vii) failure to pay wages timely at time of termination or resignation; and (viii) unfair business practices that could have been premised on the claims, causes of action or legal theories of relief described above or any of the claims, causes of action or legal theories of relief pleaded in the Operative Complaint (collectively, the "Released Class Claims"). Except as set forth in Section 5.3 of this Agreement, Participating Class Members do not release any other claims, including claims for vested benefits, wrongful termination, violation of the Fair Employment and Housing Act, unemployment insurance, disability, social security, workers' compensation, or claims based on facts occurring outside the Class Period. (§15.2)

o Release by Aggrieved

Employees: All Aggrieved Employees are deemed to release the Released Parties from all claims under the California Labor Code Private Attorneys General Act of 2004 and for civil penalties under Labor Code § 2699 et seq. that were alleged, or reasonably could have been alleged, based on the PAGA Period facts stated in the Operative Complaint or the PAGA Notices (collectively, the "Released PAGA Claims"). (§15.3)

§ "PAGA

Notices" means Plaintiff Maldonado's March 30, 2023 letter to Defendants and the LWDA ("Maldonado PAGA Notice") and Plaintiff Sevilla's October 12, 2023 letter to Defendant TPS, Defendant Mesh and the LWDA ("Sevilla PAGA Notice") and as amended to include claims for failure to provide meal and rest breaks and failure to account for all forms of remuneration at regular rate of pay used to calculate and pay overtime, paid sick leave and meal break premiums, providing notice pursuant to Labor Code section 2699.3, subd.(a). (§11.33)

§ Because future PAGA

claims are subject to claim preclusion upon entry of the Judgment, Non-Participating Class Members who are Aggrieved Employees are deemed to release the claims identified in Paragraph 5.2 of this Agreement and are eligible for an Individual PAGA Payment. (§17.5.4)

o "Released Parties" means: Defendants
and each of its former and present directors, officers, shareholders,
employees, agents, investors, owners, members, attorneys, insurers,
predecessors, successors, parents, subsidiaries and assigns. (¶1.41)

o Named Plaintiffs will
also provide a general release and CC § 1542
waiver. (¶5.1)

ANALYSIS OF SETTLEMENT AGREEMENT

A.

Does a presumption of fairness exist?

The Court preliminarily found in its Order of
June 5, 2026 that the presumption of fairness should be applied. No facts have come to the Court's attention
that would alter that preliminary conclusion.

Accordingly, the settlement is entitled to a presumption of fairness as
set forth in the preliminary approval order.

B.

Is the settlement fair, adequate, and
reasonable?

The settlement was preliminarily found to be
fair, adequate and reasonable. Notice
has now been given to the Class and the LWDA.

Reaction
of the class members to the proposed settlement.

Number of class members: 1,050 (Ayala Decl., ¶7.)

Number of notice packets mailed: 1,050 (Id. at ¶9.)

Number of undeliverable notices: 84 (Id. at ¶11.)

Number of opt-outs: 0 (Id. at ¶13.)

Number of objections: 0 (Id. at ¶14.)

Number of participating class members: 1,050 (Id. at ¶16.)

Average individual payment: \$381.90 (Id. at ¶18.)

Highest individual payment: \$1,501.62 (Ibid.)

The

Court finds that the notice was given as directed and conforms to due process requirements. Given the reactions of the Class Members and

the LWDA to the proposed settlement and for the reasons set for in the

Preliminary Approval order, the settlement is found to be fair, adequate, and reasonable.

C. Attorney Fees and Costs

Class

Counsel requests an award of \$315,000 (35%) in fees and \$32,986.04

in costs. (Memo ISO Final

at 2:3-5.) The Settlement Agreement provides for up to \$315,000 (35%) in fees and \$50,000 in costs (¶3.2.2).

“Courts

recognize two methods for calculating attorney fees in civil class actions: the lodestar/multiplier method and the percentage of recovery method.” (Wershba v. Apple Computer, Inc. (2001) 91 Cal.App.4th 224, 254.) Here, class counsel request attorney fees using the percentage method, as crosschecked by lodestar. (Memo ISO Final at pp. 11-15.)

In

common fund cases, the Court may employ a percentage of the benefit method, as cross-checked against the lodestar. (Laffitte

v. Robert Half Int'l, Inc. (2016) 1 Cal.5th 480, 503.) The fee request represents 35% of the gross settlement amount, which is above the average generally awarded in class actions. (See In re Consumer Privacy Cases (2009) 175 Cal.App.4th 545, 558, fn. 13 [“Empirical studies show that, regardless whether the percentage method or the lodestar method is used, fee awards in class actions average around one-third of the recovery.”].)

Class Counsel has provided information,

summarized below, from which the lodestar may be calculated:

Attorneys

Rates

Hours

Totals

D.Law, Inc.

\$559-1,350

203.8

\$175,654.60

David Yeremian & Associates

\$1,552

19.4

\$30,108.80

Lavi & Ebrahimian, LLP

\$675-1,000

135

\$106,125.00

Totals

358.2

\$311,888.40

(Declaration

of Enoch J. Kim ISO Final, ¶¶26-36; Declaration of David Yeremian ISO Final, ¶9; Declaration of Stephen M. Sloane ISO Final, ¶¶1-9.)

Counsel's percentage-based fee request is higher than the unadjusted lodestar and would represent application of a multiplier of approximately 1.009x. Notice of the fee request was provided to class members in the notice packet and no one objected. (Ayala Decl., ¶14, Exhibit A.)

Fee Split: Each Plaintiff represents that he or she is aware of the fee splitting agreements between Class Counsel and signed an acknowledgement regarding this. (Declaration of Jose Maldonado ISO Prelim, ¶17; Declaration of Cintia Sevilla ISO Prelim, ¶12.)

Fees are set at 33 1/3% of the GSA or \$300,000, which represents a reasonable percentage of the total funds paid by Defendant and rewards counsel for any risk they took in this case. The Court finds there are no special circumstances warranting a higher percentage recovery than the one-third fee award that is typically provided.

As

for costs, Class Counsel is requesting a cost amount of \$32,986.04. This is less than the \$50,000 cap estimated at preliminary approval, which was disclosed to Class Members in the Notice and not objected to. (Ayala Decl., ¶14, Exhibit A.) Counsel represent that costs include but are

not limited to: filing and service fees, Case Anywhere, deposition costs, mediation fees, and expert fees. (Kim Decl. ISO Final, Exhibit 4; Sloane Decl. ISO Final, Exhibit 1.) The costs appear to be reasonable in amount and reasonably necessary to this litigation.

Based on the above, the Court awards \$300,000 in fees and \$32,986.04 in costs.

D. Incentive Awards

The class representatives seek enhancement payments of \$10,000 each to Plaintiffs Jose Maldonado and Cintia Sevilla for their contributions to the action. (Memo ISO Final at 11:11-13.)

In connection with the final fairness

hearing, named Plaintiffs must submit declarations attesting to why they should be entitled to an enhancement award in the proposed amount. The named Plaintiffs must explain why they “should be compensated for the expense or risk he has incurred in conferring a benefit on other members of the class.”

(Clark v. American Residential Services LLC (2009) 175

Cal.App.4th 785, 806.) Trial courts

should not sanction enhancement awards of thousands of dollars with “nothing more than pro forma claims as to ‘countless’ hours expended, ‘potential stigma’ and ‘potential risk.’

Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiffs, is required in order for the trial court to conclude that an enhancement was ‘necessary to induce [the named plaintiff] to participate in the suit’” (Id. at 806-807, italics and ellipsis in original.)

Each Plaintiff represents that his or her contributions to this litigation include: communicating with their attorneys about the case, providing documents, answering questions, preparing for and participating in the mediation, and reviewing the settlement. (Declaration of Jose Maldonado ISO Prelim, ¶10; Declaration of Cintia Sevilla ISO Final, ¶6.)

Based on the above, as well as the benefits obtained on behalf of the class, the Court awards enhancement payments in the amount of \$7,500 each to Plaintiffs Maldonado and Sevilla.

E.

Settlement Administration Costs

The settlement administrator, Apex Class Action, LLC, is requesting \$14,000 for the costs of settlement administration. (Ayala Decl., ¶21.) This equals the estimate of \$14,000 provided for in the Settlement Agreement (¶3.2.3) and disclosed to class members in the Notice, to which there were no objections. (Ayala Decl., ¶14, Exhibit A.) Based on the above, the recommendation is to award costs in the requested amount of \$14,000.